

THE ANALYSIS WORKBOOK

Fillable Application Sheets — One Set Per Company Under Analysis
Companion to: A Framework for Long-Term Business Analysis

VERSION 3.0 — JULY 2026

“I believe in establishing yardsticks prior to the act; retrospectively, almost anything can be made to look good in relation to something or other.”

— Buffett, 1961 partnership letter [E1-02]

Print Sheets 1–8 fresh for every new company. Sheet 9 every quarter held. Sheet 10 once per year. Rules: (1) complete sheets in sequence — a FAIL at any gate stops the analysis; (2) every figure from primary filings (10-K, 10-Q, 20-F, 6-K, earnings-call transcripts); (3) no analyst estimates, adjusted metrics, or data aggregators; (4) definitions and all source citations are in the Framework document.

SHEET 1 — COMPANY OVERVIEW AND GATE TRACKER

Company:	_____	Ticker:	_____
Exchange:	_____	Sector:	_____
Market cap:	_____	Currency:	_____
Current price:	_____	Analysis date:	_____

Business description — your own words, no quoting management

How does it make money at the unit-economics level?

My informational edge (required — none means reconsider Gate 1)

Gate tracker

Gate	Title	Result	Date

Final decision: ☐ ENTER POSITION ☐ WATCHLIST — WAIT FOR PRICE ☐ DOES NOT QUALIFY

Statute hurdle (Sheet 7-B): _____

Max buy price (Sheet 7): _____

SHEET 2 — CIRCLE OF COMPETENCE | GATE 1

GATE QUESTION

Can I independently verify the moat claim without relying on management's description? "If you don't feel comfortable making a rough estimate of the asset's future earnings, just forget it and move on." [E5-02]

Q1. Unit economics understood? ☐ YES ☐ NO

Q2. Primary cost drivers identifiable without the annual report? ☐ YES ☐ NO

Q3. Informational edge (vs public narrative)? ☐ YES — describe below ☐ NO

Q4. Multi-segment: each segment evaluable independently? ☐ YES ☐ NO ☐ N/A

Failure-mode check (any YES = reconsider)

Familiarity mistaken for understanding? ☐ YES ☐ NO

Assuming domain expertise transfers? ☐ YES ☐ NO

Thesis built on narrative, not numbers? ☐ YES ☐ NO

Moat mechanism in my own words (from memory — no quoting management)

GATE 1: ☐ PASS ☐ FAIL — stop

SHEET 3 — MOAT IDENTIFICATION | GATE 2

Evaluate each segment independently — never a conglomerate as a single moat (OM-5). Run the FRANCHISE TEST first [E3-03], then classify.

SEGMENT 1

Segment name: _____

Franchise test [E3-03]:

Needed or desired? ☐ YES ☐ NO

No close substitute in customers' minds? ☐ YES ☐ NO

Free of price regulation? ☐ YES ☐ NO

Proven by aggressive pricing + high returns on capital? ☐ YES ☐ NO

Moat type (convention P42): ☐ SWITCHING COST ☐ NETWORK EFFECT ☐ INTANGIBLE ☐ COST ADV. ☐ NONE

Primary moat metric:

Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8

Direction [E4-02]: ☐ WIDENING ☐ STABLE ☐ NARROWING

Classification: ☐ WIDE (20+ yrs) ☐ NARROW (10–20) ☐ NONE

Single scenario that destroys this moat

SEGMENT 2 (N/A if single segment)

Segment name: _____

Franchise test [E3-03]:

Needed or desired? ☐ YES ☐ NO

No close substitute in customers' minds? ☐ YES ☐ NO

Free of price regulation? ☐ YES ☐ NO

Proven by aggressive pricing + high returns on capital? ☐ YES ☐ NO

Moat type (convention P42): ☐ SWITCHING COST ☐ NETWORK EFFECT ☐ INTANGIBLE ☐ COST ADV. ☐ NONE

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Single scenario that destroys this moat

GATE 2: ☐ PASS ☐ FAIL — stop

SHEET 4 — MANAGEMENT INTEGRITY | GATE 3

CEO / tenure: _____

CFO / tenure: _____

Dimension 1 — INTEGRITY (binary; candor standard = OM-12)

Unflattering info volunteered (not only when required)? ☐ YES ☐ NO

Deteriorating metrics led with, not buried? ☐ YES ☐ NO

No selective-disclosure pattern? ☐ YES ☐ NO

No restatements / SEC letters / disclosure failures? ☐ YES ☐ NO

Evidence (filing + date):

Integrity verdict: ☐ PASS ☐ FAIL — DISQUALIFIED — one deliberate deception ends the analysis

Dimension 2 — COMPETENCE (OM-3, OM-9, [E5-01])

Returns above cost of capital over a full cycle? ☐ YES ☐ NO ☐ INSUFF. DATA

\$1 retained → ≥ \$1 market value (OM-9, corrected form)? ☐ YES ☐ NO ☐ N/A

Buybacks only under the two 2011 conditions? ☐ YES ☐ NO ☐ N/A

Says no to bad acquisitions (OM-8)? ☐ YES ☐ NO ☐ N/A

Dimension 3 — ALIGNMENT (OM-2)

Wealth in shares held (not options)? ☐ YES ☐ NO

Compensation on owner-economics (not adjusted metrics)? ☐ YES ☐ NO ☐ UNCLEAR

Shareholders addressed as partners (OM-1)? ☐ PARTNERS ☐ MANAGED

GATE 3: ☐ PASS ☐ FAIL — stop

SHEET 5 — OWNER EARNINGS | GATE 4

THE COMPLETE 1986 FORMULA [E2-08]

OE = Net income + D&A/non-cash charges – Maintenance capex – Required working-capital increment

Filing type / date: _____ Fiscal year: _____

Net income (attributable): _____

One-time items stripped
(justify each): _____

D&A: _____ Total capex: _____

Maintenance capex

Management discloses split in MD&A? (overrides bands) ☐ YES — use it ☐ NO

Business type (convention P44): ☐ CAP-INTENSIVE (65–70%) ☐ ASSET-LIGHT (20–30%) ☐ MIXED (50%)

Maintenance capex: _____ Growth capex: _____

Working-capital increment
(cash-flow stmt): _____

OWNER EARNINGS = _____ (SBC check: if SBC > 15% of OE — convention P44 — deduct: adjusted
OE = _____)

Historical OE tiers — range anchoring (FA, P47)

FY	Net inc.	D&A;	Maint. capex	WC	OE	Verified?

LOWEST VERIFIED OE TIER (buy prices anchor here): _____

Balance sheet — the Fortress Test, two tracks (FA, ratified 2026-07-15)

Net cash / (debt): _____ Credit rating (if any): _____

Is this a FINANCIAL business (bank/insurer/balance-sheet levered)? ☐ YES ☐ NO

FIELD AMENDMENT — JULY 2026 (tested experience)

If NO (non-financial) — SURVIVAL TRACK. Credit rating: _____ Undrawn revolver + cash: _____ vs. debt due within 24 months: _____ Debt schedule termed-out (no cliff concentration)? ☐ Y ☐ N. Survives a 50% OE decline sustained for 2 consecutive years without existential risk? ☐ YES ☐ NO. Ordinary investment-grade leverage is NOT itself a disqualifier.

If YES (financial) — LEVERAGE CEILING (mechanical, no exception). Total assets: _____ Total equity: _____
Assets ÷ equity = _____ : 1. >10:1 = AUTOMATIC FAIL regardless of survival-track judgment. [E3-02 context: 1990 letter on 20:1 bank leverage; validated by Citigroup 2007 at 19:1 — see Backtests.]

GATE 4: ☐ PASS ☐ FAIL — stop

SHEET 6 — INVERSION | GATE 5

Destroy the thesis before pricing it [E2-20, E2-21, E3-22]. Score: [D] Direct / [DS] Structural / [P] Partial / [U] Unanswered (convention P42 notation).

STEP A — every assumption the bull case requires (no list = no thesis)

MANDATORY — MOAT DESTRUCTION [E4-04]

Failure scenario

Mgmt response (filing + date):

Score: ☐ D ☐ DS ☐ P ☐ U

MANDATORY — MANAGEMENT FAILURE — inst. imperative [E2-18]

Failure scenario

Mgmt response (filing + date):

Score: ☐ D ☐ DS ☐ P ☐ U

MANDATORY — BALANCE-SHEET STRESS (50%×2yr drill)

Failure scenario

Mgmt response (filing + date):

Score: ☐ D ☐ DS ☐ P ☐ U

ADDITIONAL INVERSION

Failure scenario

Mgmt response (filing + date):

Score: ☐ D ☐ DS ☐ P ☐ U

THESIS-BREAKING METRIC — PRE-COMMITTED [E1-02]

Metric: _____ Current: _____ Exit threshold (2 consecutive quarters at/below): _____
Next checkpoint: _____

GATE 5: ☐ PASS ☐ FAIL — stop

SHEET 7 — VALUATION | GATE 6

FIELD AMENDMENT — JULY 2026 (tested experience)

STEP 0 — RATE REFRESH. Sovereign 30-yr yield TODAY: _____ Date: _____ Yield at last valuation: _____
 _____ Δ > 50bp? ☐ YES — revalue holdings ☐ NO

SHEET 7-B — BOOK ONE: THE BUFFETT STATUTE (starter size)

FIELD AMENDMENT — JULY 2026 (tested experience)

Lowest verified OE tier (Sheet 5): _____ ÷ Market cap: _____ = **OE yield:** _____ %

Hurdle: sovereign 30-yr _____ % + size premium (☐ +1% small/mid ☐ +2% micro/illiquid ☐ +0%) = _____ %

Floor 4% applied? ☐ YES ☐ N/A

Coca-Cola clause (generational moat, Gate 2 = WIDE with [E3-03] all-yes): hurdle × 0.70 = _____ % ☐ invoked
 (justify): _____

STATUTE VERDICT: ☐ OE yield ≥ hurdle — wonderful-at-fair, starter size permitted ☐ below hurdle — Book Two
 price or pass

Authorities: Aesop's three questions [E4-01]; the yardstick rate [E3-23]; certainty-adjusted discounting [E3-13]. The yardstick is a comparison standard — never a perpetuity input.

BOOK TWO — BUILD-UP DCF (full size) — convention P43

**OE base (lowest
verified tier):** _____

Diluted shares: _____

**WACC = sov. + ERP +
specific:** _____

Moat class / fade: _____

Scenario	Yr1-10 growth	Fade	TGR	IV/share	×0.80 (0.70 no-moat)

Sensitivity — thesis must hold across the majority of the grid [E3-12]

WACC \ TGR	2.0%	2.5%	3.0%	3.5%	4.0%

FIELD AMENDMENT — JULY 2026 (tested experience)

THE SCREAM TEST (P46). Verdict at bare yardstick rate: ☐ BUY ☐ WAIT Verdict at Book Two WACC: ☐ BUY ☐ WAIT Agree? ☐ YES — proceed ☐ NO — whisper, PASS

GATE 6: ☐ PASS ☐ FAIL — wait for price

SHEET 8 — REVERSE DCF | GATE 8

The pari-mutuel check [E3-20]: what must the crowd believe for today's price to be fair?

Current price: _____ WACC used: _____

Q1 — implied OE base (growth held fixed)

Benchmark	Value	Implied as %	Verdict

Overall: ☐ BELOW TROUGH ☐ BELOW CURRENT ☐ AT CURRENT ☐ ABOVE PEAK — do not enter

Q2 — implied year-1 growth (OE held fixed)

Decel profile	Implied yr-1 growth	vs 5-yr CAGR	Verdict (A/S/H)

Asymmetry ratio (convention P44)

Upside (Base IV – price): _____ Downside (price – Bear IV): _____ Ratio: _____ : 1 ☐ >3:1 ☐ 2–3:1 ☐ <2:1
— wait

GATE 8: ☐ PASS ☐ FAIL — wait

SHEET 9 — QUARTERLY MONITORING | GATE 7

“Charlie and I let our marketable equities tell us by their operating results — not by their daily, or even yearly, price quotations — whether our investments are successful.” [E2-13]

Company / ticker: _____ Quarter / date: _____

Avg cost: _____ Current price: _____

Thesis-confirming metric

Prior value: _____ This quarter: _____

Direction: ☐ IMPROVING ☐ FLAT ☐ DETERIORATING

Thesis-breaking metric

This quarter: _____ Consecutive qtrs deteriorating: _____

EXIT TRIGGERED (2 consecutive)? ☐ YES — EXIT ☐ NO — HOLD

Integrity check (OM-12)

Previously disclosed metric now omitted? ☐ Y ☐ N

New SEC correspondence / restatement? ☐ Y ☐ N

Status: ☐ INTACT ☐ YELLOW FLAG ☐ DISQUALIFIED — EXIT

Owner earnings + range anchoring (P47)

Trailing OE: _____ vs DCF base ($\Delta\%$): _____

OE moved >10% vs base (convention)? ☐ YES — rerun Gates 4–6 ☐ NO

New filing raises lowest VERIFIED tier? ☐ YES — raise thresholds ☐ NO

Sell decision tree

Price > 120% of conservative IV (OM-14 + convention)? ☐ YES — REDUCE ☐ NO

Quarterly decision: ☐ HOLD ☐ ADD ☐ REDUCE ☐ EXIT ☐ RERUN

“Inactivity strikes us as intelligent behavior.” [E3-15] — the default action is no action.

SHEET 10 — POSITION LOG, WATCHLIST, ELIMINATED REGISTER

Transaction log (print yearly)

Date	Ticker	Buy/Sell	Shares	Price	Total	Account

Current holdings

Ticker	Shares	Avg cost	Price	Base IV	MOS %	Reviewed

Watchlist (passed Gates 1–5; waiting for price)

Ticker	Statute hurdle	Book Two max buy	Current	Gap %	Next catalyst

Eliminated (failed a gate — no revisits without new primary evidence; integrity failures are permanent)

Ticker	Gate failed	Primary reason	Date

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OM-15 self-benchmark: portfolio result vs index, 3-year minimum window [E1-03] — “Otherwise, why do our investors need us?”

“The goal is not to win. It is to see how wrong you can be and still be right. Margin of safety, moat assessment, conservative DCF modeling, and position sizing are each sequential admissions of fallibility.”

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